

Safaricom Plc: HY22 Earnings Note

Safaricom announced its HY22 results, reporting a 12.01% increase in profit after tax KES 37.06 Bn from KES 33.06Bn . Additionally, the EPS fell below our expectations by recording a 12.1% growth to KES 0.92 from KES 0.83. The growth in profitability was mainly driven by a 16.91% uptick in service revenue on the back of a recovery in Mpesa revenues coupled with a slower 14.7% growth in total operating costs.

10th November 2021

Current price: KES 40.10

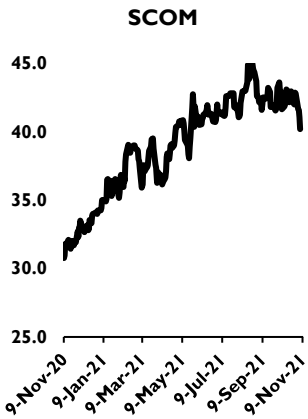
Target price: KES 38.81

Downside: 3.21%

YTD Performance: 17.08%

52 Week High: KES 44.95

52 Week Low: KES 30.75



Key Highlights

- **Recovery in Service Revenue:** : Service revenues grew by 16.91% on the back of a recovery in both M-PESA and fixed data revenue. M-pesa revenue increased 45.81% y/y to KES 52.33 bn which was in line with our KES 53.32Bn forecast. Fixed data revenue was up 21.10% y/y to KES 5.49bn, also in line with our KES 6.05Bn forecast. Voice revenue slightly fell below our KES 43.30 Bn forecast by growing by 3.17% to KES 41.46Bn.

- **ARPU sustained growth:** The average revenue per user (ARPU) for the 90 day active total customers increased by 4.2% to KES 559.6. The growth was driven by M-PESA, Data and FTTH ARPUs increasing by 31.30%, 8.10% and 4.50%, respectively. We expect M-PESA ARPU to continue growing in 2H22 as volume of transactions continue increasing. However, we maintain our expectation of a continued pressure on voice and SMS ARPUs due to customers preferring other communication channels.

- **Direct and Operating Costs above expectations:** During the period, operating costs increased by 14.65% to KES 68.96Bn, higher than our expectations. The growth was mainly driven by direct costs which grew by 20.30% to KES 44.53Bn on the back of a 26.77% growth in M-pesa commissions to KES 15.80Bn. Cost control measures will be hampered by the Ethiopian entry where we expect high initial operating expenses.

- **M-pesa to continue driving top-line growth:** In FY21, M-PESA revenue was up 45.81% mainly due to the reversal of the zero rating of transactions below KES 1000. Additionally, one month active M-pesa users increased by 7.09% while the number of chargeable transactions per monthly active user grew 2x to 18.06. Going forward, we expect revenue growth to be driven by increased usage of the platform.

- **Short term borrowing drives balance sheet growth:** We take note of the 4x growth in short term borrowing , in the first six months of FY'22, to KES 77.00 Bn from KES 14.77Bn at the end of FY'21. The need to take up the facility was necessitated by the completion of the licensing process by the Ethiopian consortium. Even though the management has indicated their intention to convert the facility to long term, we are concerned on the effect it may have on the company's working capital requirements.

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- **Fixed data grows as uptake and coverage increases:** For the period under review, the fixed data revenue grew by 21.10% to KES 5.50Bn. The growth was driven by 22.92% increase in Fibre to the Home and 20.07% increase in Fibre to Business connections. The remote working and schooling from home policies also drove the growth of fiber to the home (FTTH) which saw a 17.17% increase in the number of customers and a 4.49% increase in ARPU.

- **Mobile data revenue growth:** One month active mobile data customers grew by 4.98% while Mobile data revenue grew by 6.27% y/y with the growth being weighed down by excise duty adjustments and price rationalization. Distinct data bundles customers grew 8.10% y/y to 16.95mn, active 4G devices grew 37.3% y/y while customers using more than 1GB network grew 22.2% y/y to 4.7Mn.

- **M-pesa to continue driving top-line growth:** In HY22, M-PESA one month active users ARPU grew by 31.25% to KES 300.71 leading to an 45.81% uptick in M-Pesa revenue to KES 52.33Bn. The growth was driven by the reversal of the zero rating of transactions below KES 1000. Notably, the value of total transactions grew by 51.50% to KES 13.7 Tn with the volume increasing by 42.0% y/y to KES 7.3Bn. Going forward, we expect revenue growth to be driven by increased usage of the platform and re-introduction of charges.

- **Capital Expenditure (CAPEX) guidance:** 1H22 saw capital investment increase 0.3% y/y to KES 22.81Bn with 79.60% (KES 18.1Bn) of this being directed to network growth while the rest was committed to maintenance. The management has given an FY22 guidance of KES 40-43Bn with the Ethiopian entry set to cost a CAPEX of an additional KES 30Bn. We expect CAPEX to increase with Safaricom scaling up its operations by introducing 5G network and transforming into a digital IT network.

- **Ethiopia entry to proceed as scheduled:** The management has indicated that the Ethiopian operations will begin in mid-2022 as per the license requirement. Despite the prevailing political uncertainty the company has continued to set up operating structures with the hiring of top management. The company is targeting to provide telco, mobile money and digital services with the management expecting that the operations will break even in year 4.

Outlook

The performance was commendable with the topline being been driven by Mpesa revenue supported by data revenue. The onset of the pandemic has contributed to the increase in M-pesa transaction volumes where we expect most users to continue using mobile payment post -pandemic. The adoption of the Mpesa App will continue to drive uptake for both businesses and individuals. Changes in working and schooling patterns coupled with investments in a stronger network will continue driving the adoption of data.

We expect the prevailing conditions in Ethiopia to continue weighing down on the current share price and we therefore maintain our previously issued SELL recommendation.

Table 1 : Financial Statement Summary

Income Statement (KES Millions)	30-Sep-2021	30-Sep-2020	% Change
Service Revenue	138,434	118,407	16.91%
Handset Revenue	7,842	5,442	44.1%
Construction Revenue	-	503	(100.0%)
Other Revenue	93	184	(49.3%)
Total Revenue	**146,368**	**124,535**	**17.5%**
Direct Costs	(44,537)	(37,021)	20.300%
Provision for ECL on Receivables	(1,013)	(2,405)	(57.9%)
Construction Costs	-	503	(100.0%)
Other Costs	(23,414)	(21,226)	10.3%
EBIDTA	**77,405**	**63,381**	**20.2%**
Depreciation and ammortization	(19,493)	(18,413)	5.9%
EBIT	**57,912**	**44,747**	**26.0%**
Net Finance Income	(2,983)	(236)	1162.3%
Share of Profit in JV	(245)	16	(1,611.7%)
Profit Before Tax	**54,684**	**45,753**	**19.5%**
Income Tax	(17,629)	(11,678)	51.0%
Profit After Tax	**37,056**	**33,069**	**12.01%**
Basic and Diluted EPS	0.92	0.83	12.10%

Balance Sheet (KES Millions)	30-Sep-2021	30-Sep-2020	% Change
Non Current Assets	275,161	174,720	57.5%
Current Assets	58,390	55,909	4.4%
Total Assets	**333,551**	**230,629**	**44.6%**
Current Liabilities	137,225	75,452	81.9%
Non Current Liabilities	17,529	17,542	-0.1%
Shareholder Funds	178,797	137,635	29.9%
Total Equity and Liabilities	**333,551**	**230,629**	**44.6%**

Source: Company filings, AIB-AXYS



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